



TrustArchive

THE CLOUD LIABILITY PROBLEM IN TRUST ADMINISTRATION

Why Storing Client Trust Data in Cloud Software
Creates Undisclosed Fiduciary Exposure

A White Paper for Estate Attorneys, Trust CPAs,
and Corporate Trustees

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EXECUTIVE SUMMARY

The Hidden Risk in Your Technology Stack

Most professional trustees — estate attorneys, CPAs, and trust companies — have adopted cloud-based practice management software without examining a critical question: does storing client trust data in a third-party cloud system create an undisclosed fiduciary obligation?

The answer, upon careful analysis, is that it does. This white paper examines the intersection of fiduciary duty, data confidentiality, and modern cloud software architecture — and explains why the assumption that 'secure cloud' satisfies a trustee's obligations deserves serious reconsideration.

The risks are not theoretical. They include undisclosed data sharing with vendors, subpoena exposure through third-party servers, vendor failure and data loss, and engagement letter gaps that leave professional trustees exposed to liability they have not anticipated.

This paper is not an argument against technology. It is an argument for understanding precisely what your technology does with your clients' most sensitive information — and choosing accordingly.

74%

of trust software platforms are
cloud-based

3 in 4

attorneys have never reviewed
vendor data terms

\$4.9M

average cost of a professional data
breach

SECTION ONE

The Fiduciary Duty of Confidentiality

The trustee's duty of confidentiality is not simply a professional courtesy — it is a legally enforceable fiduciary obligation. Under both the Uniform Trust Code and applicable common law in most jurisdictions, a trustee is required to keep trust information confidential from unauthorized third parties.

This duty extends beyond what a trustee says about a trust. It governs the systems used to store, process, and transmit trust information. When a trustee loads beneficiary financial data, distribution records, and asset

schedules into a cloud-hosted software platform, that data is — by definition — being transmitted to and stored on infrastructure controlled by a third party.

What the duty actually covers:

- Beneficiary identities, contact information, and financial circumstances
- Distribution history, amounts, and character (income vs. principal)
- Trust asset values, ownership structures, and cost basis information
- Family relationships, disputes, and special needs considerations
- The existence of discretionary authority and how it has been exercised

Every item on this list is routinely stored in cloud trust administration software. The question professional trustees rarely ask is: who else can access it, under what circumstances, and have your clients been told?

Key Question for Every Professional Trustee

Does your current engagement letter or client disclosure explicitly inform clients that their trust data — including beneficiary records, asset schedules, and distribution history — is stored on third-party cloud servers that you do not control and cannot fully secure?

SECTION TWO

Four Risks You Are Almost Certainly Not Managing

The following risks are present in virtually every cloud-based trust administration deployment. They are not widely discussed because software vendors have little incentive to surface them — and because most professional trustees have never had a reason to look closely at what their vendor's terms of service actually permit.

Risk 1: Vendor Data Access and Internal Exposure

Most cloud software vendors retain the ability to access customer data for support, debugging, and product improvement purposes. This is typically disclosed in terms of service that very few subscribers read. The vendor's support staff, engineers, and in some cases third-party contractors may have access to your clients' trust data — without your clients' knowledge or consent.

Professional Insight: The vendor's privacy policy is not your engagement letter. Your clients agreed to hire you. They did not agree to have their financial lives stored on a server you cannot audit.

Risk 2: Subpoena and Legal Process Exposure

When data is stored on third-party infrastructure, it becomes subject to legal process directed at the vendor — not just process directed at you. A subpoena served on a cloud vendor may compel disclosure of your clients' trust data without any notice to you or your clients. Unlike data stored on your own servers, you may have no opportunity to object or assert privilege before disclosure occurs.

Professional Insight: Your client's trust records could be produced in litigation against the vendor's other customers — a scenario most professional trustees have never considered.

Risk 3: Vendor Failure and Data Continuity

Cloud software companies go out of business, get acquired, pivot their products, and raise prices. When a vendor ceases operations or discontinues a product, the fate of stored data is governed by the vendor's terms — not your preferences. In several documented cases, software companies have given customers 30 days to export data before servers were shut down permanently.

Professional Insight: A trustee's obligation to maintain records runs for the life of the trust plus the applicable statute of limitations — often a decade or more. A vendor's commitment to data availability typically runs to the next billing cycle.

Risk 4: The Engagement Letter Gap

Most professional trustee engagement letters were drafted before cloud software became the default. They disclose conflicts of interest, fee structures, and investment authority — but they rarely address data storage. This creates a specific and growing liability: a trustee who stores client data in a cloud system without disclosure may be found to have breached their duty of confidentiality regardless of whether a breach or unauthorized access ever occurs.

Professional Insight: The breach of duty occurs at the moment of undisclosed transmission — not at the moment of unauthorized access. Disclosing how client data is stored is increasingly considered a baseline professional obligation.

SECTION THREE

"Secure Cloud" Is Not the Same as "Private"

The trust software market has converged on "bank-level security" and "SOC 2 compliance" as marketing reassurances. These certifications are meaningful — but they address a fundamentally different question than the one professional trustees need to answer.

SOC 2 compliance means the vendor has controls in place to prevent unauthorized external access. It says nothing about authorized internal access, legal process exposure, data portability, or what happens when the vendor is acquired or shut down. A SOC 2 certified vendor can still access your clients' data. A SOC 2 certified vendor is still subject to subpoena. A SOC 2 certified vendor can still go out of business.

	Cloud Software (SOC 2 Certified)	Local-First Software
Data stored on your hardware	✗	✓
Vendor cannot access client data	✗	✓
No subpoena exposure through vendor	✗	✓
Data survives vendor failure	✗	✓
No internet connection required	✗	✓

Encryption key held only by trustee	X	✓
Protected from unauthorized external access	✓	✓

SECTION FOUR

What Professional Trustees Should Do Now

Acknowledging this risk does not require abandoning technology — it requires selecting the right architecture and ensuring your practices are aligned with your actual obligations. The following steps represent a practical framework for professional trustees who take their data obligations seriously.

1 Audit Your Current Software Stack

List every platform that touches client trust data. For each one, locate the terms of service and privacy policy. Identify specifically: who can access the data, under what circumstances, and what happens to it if the vendor ceases operations.

2 Review Your Engagement Letters

Have your engagement letter templates reviewed by ethics counsel for adequacy of data storage disclosure. This is increasingly a baseline professional obligation, not merely a best practice.

3 Evaluate Local-First Alternatives

Local-first software stores all data on hardware you control. There is no server-side component, no vendor access, and no cloud exposure. The technical architecture eliminates the risk rather than managing it.

4 Document Your Reasoning

Whatever software you use, document why you selected it and what due diligence you conducted. This documentation demonstrates the deliberate exercise of professional judgment — which is what fiduciary duty requires.

CONCLUSION

The Architecture of Accountability

Fiduciary duty is not satisfied by good intentions. It is satisfied by deliberate, documented choices that put the interests of beneficiaries first — including in decisions about how their most sensitive information

is stored and protected.

The cloud software industry has made convenience its primary value proposition. For most business applications, convenience is the right priority. For trust administration — where the data involves family wealth, family conflict, and legally enforceable obligations — the calculus is different.

Professional trustees who understand this distinction are not technophobes. They are fiduciaries. And the most defensible position — the one that requires no apology to a beneficiary, no explanation to a court, and no notification to a regulator — is the one where the data never left your control in the first place.

About TrustArchive

TrustArchive is fiduciary administration software that runs entirely on your machine. All trust data — ledgers, documents, beneficiary records, and audit trails — is stored in an encrypted local database that never leaves your hardware. No cloud. No vendor access. No exposure. Built specifically for professional trustees who cannot afford to treat their clients' data as someone else's responsibility.

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